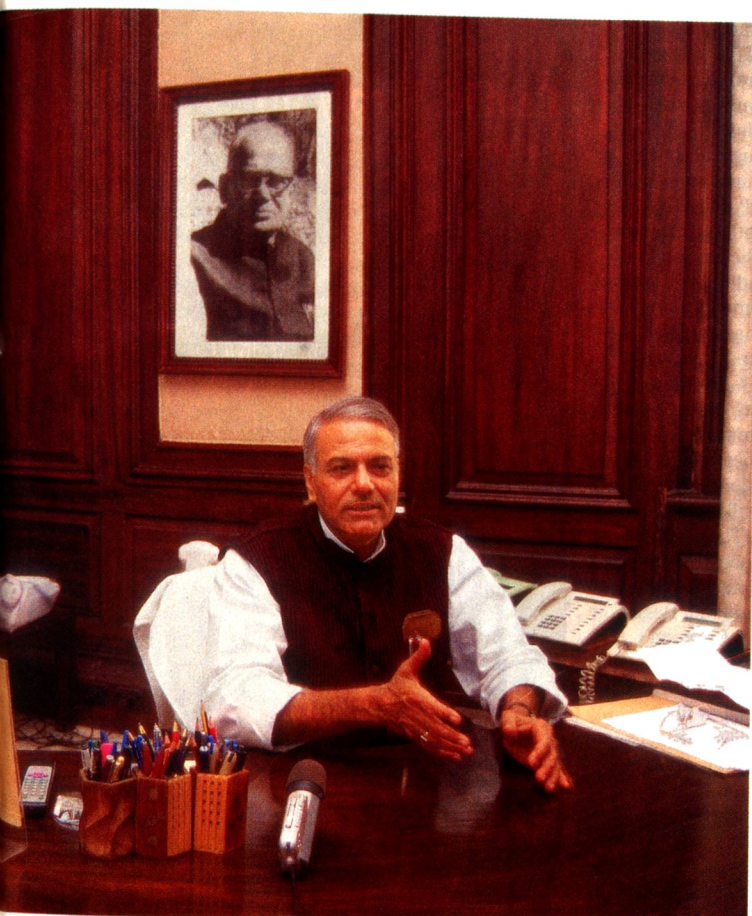




That Indian economic performance has been as good despite extreme UPA populism, is the most important acknowledgement of the historic role that Sinha played as finance minister (after his Mrs Gandhi swadeshi avatar).

Messrs Vajpayee-Sinha put India on the new growth path in which she finds herself today. Not by swadeshi, but by embracing the principles of our ancestors (Kautilya) and the principles of the ancient and modern world. What Sinha did in 1999, and proceeded to do over the next three years, was to reform the financial sector, in particular the control-freak administered interest rate regime that the BJP had inherited from the Congress. It was this high real interest rate regime that prevented the Indian economy from growing faster after the major 1991-1993 economic reforms. These major reforms produced only a 0.5 per cent extra GDP growth, not the 2-3 per cent extra GDP growth these reforms merited.

It was left to Vajpayee-Sinha to make right what Narasimha Rao-Manmohan Singh forgot to correct. And it was a mega-item. Interest rate on the "benchmark" small savings was reduced from 14.5 per cent to 9.5 per cent in four years. This led to an equivalent fall in the interest rate on corporate borrowings. With inflation staying low, and near-constant, real rates declined by 500-600 basis points. If a half percentage point cut (or increase) in real rates is a revolution in most countries, then what is a 500-600 basis point cut? A transformation from a begging-bowl India to a shining India. An India at a \$1,000-per-capita GDP from a \$500-per-capita GDP. A confident, assertive, swadeshi India. An India worthy of competing with China again; an India whose natural rate of growth, with additional (mis)reforms, is at least 8-9 per cent per annum. With even basic reforms, the potential is well over 10 per cent GDP growth. History will rightly judge Sinha for being a major economic reformer. ■

change the time of the Budget to one that suited the Indian time zone. Sinha first changed it to 2 p.m., and then to 11 a.m., a time when even the Indian MPs were at work. Another reform was advocating that the Budget should not be marked 'top secret' until the day of its release.

It is not the change in cosmetics, important as they were, that will mark Sinha as a frontline reformer. There was CENVAT, the first step towards a national VAT. There was compression of the various, and nefarious, levels of custom duties. There was privatisation of government firms making bread

and computers; there was encouragement of FDI; there were steps towards the dismantling of the administered price structure in fertiliser, petroleum and sugar.

There were no "in the name of the poor" cesses and taxes; there wasn't any introduction of bad, indefensible taxes. Several, too numerous to mention, of Sinha's economic reforms have been reversed by the CMP—Communist Maximum Programme—of the present Sonia Gandhi-led UPA. History will mark the UPA regime as one of the more depressing periods in Indian economic history—from a policy point of view.

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